VA Servicing Purchase – Bankruptcy Testing Template

Monthly Operational Risk Testing | Test Period: December 2024 | Population: VASP Accounts Flagged for Bankruptcy

Program	VA Servicing Purchase (VASP)
Governing Requirement	VA Servicer Handbook M26-4, Chapter 9: VA Purchase (revised August 12, 2024)
Paragraphs Tested	9.07(a)(2)(a) and 9.08(c)(3)
Response Options	Yes (Pass) / No (Exception) / N/A (condition not present for the sampled account)

Test Question 1 – Paragraph 9.07(a)(2)(a): Bankruptcy Filed During the VASP TPP

Test Question

Where the borrower filed bankruptcy during the VASP Trial Payment Plan (TPP), did the servicer comply with the bankruptcy requirements before proceeding with the VASP, specifically: (i) for a Chapter 13 filing, did the servicer provide evidence of the bankruptcy court's approval or acquiescence to the VASP; and (ii) for a Chapter 7 filing, did the servicer refrain from proceeding with the VASP (including reporting a successful TPP Complete event and launching the VASP Payment Process) until the bankruptcy proceedings were closed?

Citation: VA Servicer Handbook M26-4, Chapter 9: VA Purchase, Paragraph 9.07(a)(2)(a), August 12, 2024.

Exception Statement

Non-compliance with VA program requirements was identified. The borrower filed bankruptcy during the VASP Trial Payment Plan, and the servicer failed to satisfy the bankruptcy requirements of VA Servicer Handbook M26-4, Chapter 9, Paragraph 9.07(a)(2)(a), before proceeding with the VASP. [*Chapter 13:* The servicer reported the TPP Complete event and advanced the loan through the VASP Payment Process without providing evidence of the bankruptcy court's approval or acquiescence to the VASP.] [*Chapter 7:* The servicer reported the TPP Complete event and advanced the loan through the VASP Payment Process while the Chapter 7 bankruptcy proceedings remained open, although the borrower did not qualify for VASP until those proceedings were closed.] As a result, the servicer processed the loan for VA purchase without meeting the bankruptcy conditions required by VA, exposing the loan and the VASP payment to post-audit findings, possible repurchase or bill of collection, and administrative enforcement action under 38 C.F.R. § 36.4320.

Testing note: Select the bracketed sentence that matches the bankruptcy chapter filed and delete the other before reporting.

Test Question 2 – Paragraph 9.08(c)(3): Chapter 7 Discharge Statement in the VASP Modification

Test Question

Where the borrower discharged the VA-guaranteed loan debt through a Chapter 7 bankruptcy, did the servicer include the VA-prescribed bankruptcy discharge statement in the VASP loan modification document, stating that the agreement does not impose personal liability for the discharged debt, is entered into voluntarily and not as a reaffirmation of the debt, and does not constitute a demand for payment or an attempt to collect the discharged obligation?

Citation: VA Servicer Handbook M26-4, Chapter 9: VA Purchase, Paragraph 9.08(c)(3), August 12, 2024.

Exception Statement

Non-compliance with VA program requirements was identified. The borrower discharged personal liability on the VA-guaranteed loan debt through a Chapter 7 bankruptcy, and the servicer did not include the required bankruptcy discharge statement in the VASP loan modification document, as mandated by VA Servicer Handbook M26-4, Chapter 9, Paragraph 9.08(c)(3). [The statement was omitted entirely.] [The statement was incomplete or materially altered from the language prescribed by VA.] Without the required statement, the modification agreement does not make clear that it imposes no personal liability for the discharged debt, is not a reaffirmation of the debt, and is not a demand for payment or an attempt to collect a discharged obligation. This exposes the borrower to possible confusion about the effect of the discharge and exposes the servicer to a possible violation of the bankruptcy discharge injunction (11 U.S.C. § 524), along with VA post-audit and administrative enforcement risk.

Testing note: Select the bracketed sentence that describes the deficiency observed and delete the other before reporting.